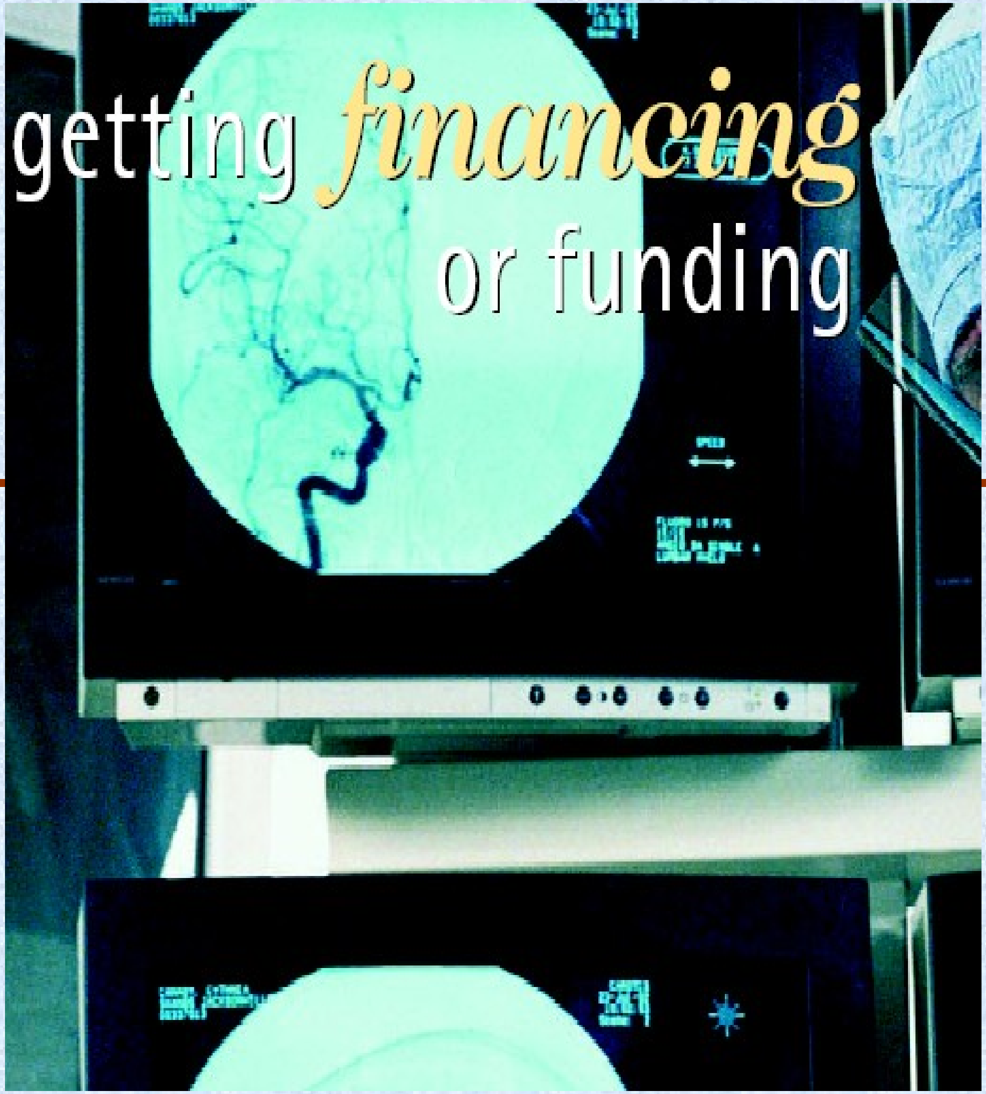

Entrepreneurship: Successfully Launching New Ventures, 1/e

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Chapter 10

Chapter Objectives
(1 of 2)

1. Explain why most new ventures need to raise money at some point during their early life.
2. Identify the three sources of personal financing available to entrepreneurs.
3. Provide examples of how entrepreneurs bootstrap to raise money or cut costs.
4. Identify the three steps involved in properly preparing to raise debt or equity financing.
5. Explain the role of an elevator speech in attracting financing for a firm.

Chapter Objectives
(2 of 2)

1. Discuss the difference between equity funding and debt financing.
2. Describe the difference between a business angel and a venture capitalist.
3. Explain why an initial public offering is an important milestone for a firm.
4. Discuss the SBA Guaranteed Loan Program.
5. Explain the advantages of leasing for an entrepreneurial firm.

The Importance of Getting Financing or Funding

- Understanding the Alternatives for Financing or Funding
  - Few people deal with the process of raising investment capital until they need to raise capital for their own firm.
  - As a result, many entrepreneurs go about raising capital haphazardly because they lack experience.
  - To be successful in this area, it is important for entrepreneurs to understand the role of investment capital in the success of a new businesses, and the options available to entrepreneurial firms for obtaining financing or funding.

Why Most New Ventures Need Funding

Figure 10.1

Three Reasons Start-Ups Need Funding

Cash Flow Challenges

Inventory must be purchased, employees must be trained and paid, and advertising must be paid for before cash is generated from sales.

Capital Investments

The cost of buying real estate, building facilities, and purchasing equipment typically exceeds a firm's ability to provide funds for these needs on its own.

Lengthy Product Development Cycles

Some products are under development for years before they generate earnings. The up-front costs often exceed a firm's ability to fund these activities on its own.

Sources of Personal Financing
(1 of 3)

- Sources of Personal Financing
  - Typically, the seed (or initial) money that gets a company off the ground comes from the founders themselves—from their personal savings, mortgages, and credit cards.
    - All founders contribute sweat equity to their ventures, which represents the value of the time and effort that a founder puts into a new firm.
- Love Money
  - Friends and family are the second source of funds for many new ventures. This form of contribution is often called "love money."

Sources of Personal Financing
(2 of 3)

- Love Money (continued)
  – Love money can consist of outright gifts, loans, or investments, but often comes in the form of forgone or delayed compensation or reduced or free rent.
- Bootstrapping
  – Another source of seed money for new ventures is bootstrapping.
    - Bootstrapping is the use of creativity, ingenuity, and any means possible to obtain resources other than borrowing money or raising capital from traditional sources.

Sources of Personal Financing
(3 of 3)

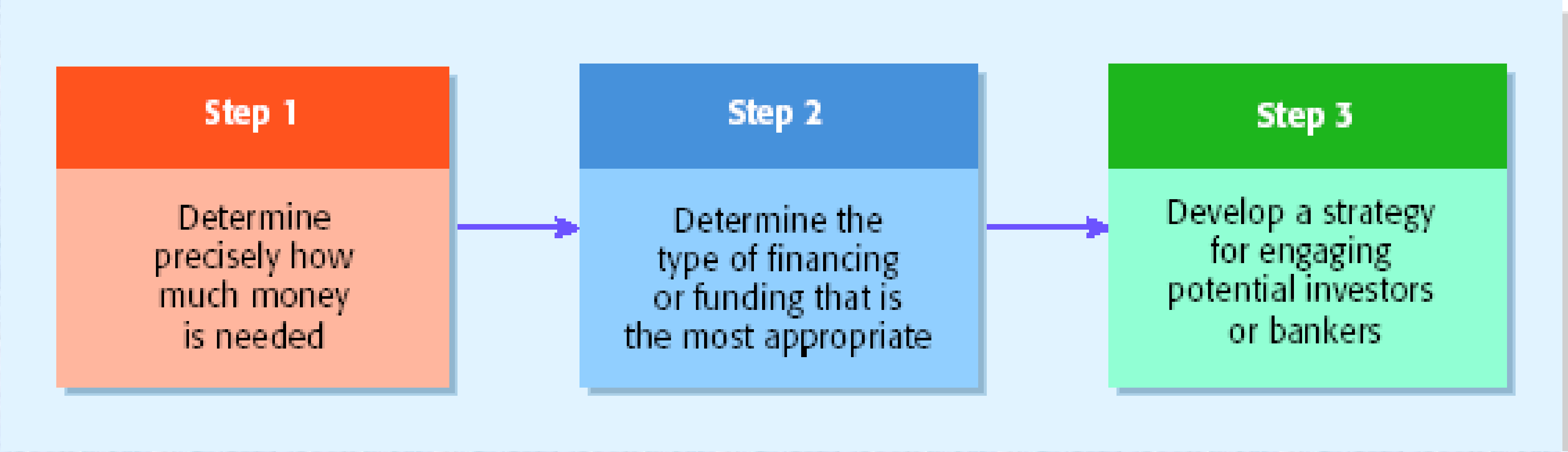
There are many ways entrepreneurs bootstrap to raise money or cut costs. Some of the most common examples include the following:

- **Minimizing personal expenses and putting all profits back into the business**
- **Avoiding unnecessary expenses, such as lavish office space or furniture**
- **Establishing partnerships and sharing expenses with partners**
- **Leasing equipment rather than buying**
- **Sharing office space or employees with other businesses**
- **Utilizing the services or a university or community incubator**
- **Buying items cheaply but prudently through discount outlets or online auctions, such as eBay, rather than at full-price stores**

Preparing to Raise Debt or Equity Financing
(1 of 3)

Figure 10.2

Preparation for Debt or Equity Financing



Preparing to Raise Debt or Equity Financing
(2 of 3)

Two most common alternatives for raising money

Alternative	Explanation
Equity funding	**Equity funding means exchanging partial ownership in a firm, usually in the form of stock, for funding. Angel investors, private placement, venture capital, and initial public offerings are the most common sources of equity funding. Equity funding is not a loan—the money that is received is not paid back. Instead, equity investors become partial owners of a firm.**
Debt financing	**Debt financing is getting a loan. The most common sources of debt financing are commercial banks and the Small Business Administration (through its guaranteed loan program).**

Preparing to Raise Debt or Equity Financing
(3 of 3)

Table 10.1

Matching a New Venture's Characteristics with the Appropriate Form of Financing or Funding

Characteristics of the New Venture	Appropriate Source of Financing or Funding
The business has high risk with an uncertain return: Weak cash flow High leverage Low to moderate growth Unproven management	Personal funds, friends, family, and other forms of bootstrapping
The business has low risk with a more predictable return: Strong cash flow Low leverage Audited financials Good management Healthy balance sheet	Debt financing
The business offers a high return: Unique business idea High growth Niche market Proven management	Equity

Preparing An Elevator Speech
(1 of 2)

- Elevator Speech
  - An elevator speech is a brief, carefully constructed statement that outlines the merits of a business opportunity.
  - Why is it called an elevator speech?
    - If an entrepreneur stepped into an elevator on the 25th floor of a building and found that by a stroke of luck a potential investor was in the same elevator, the entrepreneur would have the time it takes to get from the 25th floor to the ground floor to try to get the investor interested in his or her opportunity. This type of chance encounter with an investor calls for a quick pitch of one's business idea. This quick pitch has taken on the name "elevator speech."
    - Most elevator speeches are 45 seconds to two minutes long.

Preparing an Elevator Speech
(2 of 2)

Table 10.2

Guidelines for Preparing an Elevator Speech

The elevator speech is a very brief description of your opportunity, product idea, qualifications, and market. Imagine that you step into an elevator in a tall building and a potential investor is already there; you have about 60 seconds to explain your business idea.

Step 1: Describe the opportunity or problem that needs to be solved	20 seconds
Step 2: Describe how your product or service meets the opportunity or solves the problem	20 seconds
Step 3: Describe your qualifications	10 seconds
Step 4: Describe your market	10 seconds
Total	60 seconds

Sources of Equity Funding

Venture Capital

Business Angels

Initial Public Offerings

Business Angels
(1 of 2)

- Business Angels
  - Are individuals who invest their personal capital directly in start-ups.
  - The prototypical business angel is about 50 years old, has high income and wealth, is well educated, has succeeded as an entrepreneur, and is interested in the startup process.
  - The number of angel investors in the U.S. has increased dramatically over the past decade.

Business Angels
(2 of 2)

- Business Angels (continued)
  - Business angels are valuable because of their willingness to make relatively small investments.
    - This gives access to equity funding to a start-up that needs just $50,000 rather than the $1 million minimum investment that most venture capitalists require.
  - Business angels are difficult to find. Most angels remain fairly anonymous and are matched up with entrepreneurs through referrals.

Venture Capital
(1 of 4)

- Venture Capital
  - Is money that is invested by venture-capital firms in start-ups and small businesses with exceptional growth potential.
  - There are about 650 venture-capital firms in the U.S. that provide funding to about 3,000 to 4,000 firms per year.
    - Venture-capital firms are limited partnerships of money managers who raise money in "funds" to invest in start-ups and growing firms. The funds, or pool of money, are raised from wealthy individuals, pension plans, university endowments, foreign investors, and similar sources. A typical fund is $75 million to $200 million and invests in 20 to 30 companies over a three- to five-year period.

Venture Capital
(2 of 4)

- Venture Capital (continued)
  - The investment preferences of venture-capitalist are fairly narrow.
    - For example, in 2002, 20% of all venture-capital investments were in the software industry. Telecommunications, networking, computers and peripherals, semiconductors, medical devices, and biotechnology are other industries attracting funding from venture capitalists.
    - Many entrepreneurs get discouraged when they are repeatedly rejected for venture capital funding, even though they may have an excellent business plan.
    - Venture capitalists are looking for the "home run" and so reject the majority of the proposals they consider.

Venture Capital
(3 of 4)

- Venture Capital (continued)
  - An important part of obtaining venture-capital funding is going through the due diligence process, which refers to the process of investigating the merits of a potential venture and verifying the key claims made in the business plan.
  - Venture capitalists invest money in start-ups in “stages,” meaning that not all the money that is invested is disbursed at the same time.
  - Some venture capitalists also specialize in certain “stages” of funding.
    - For example, some venture capital firm specialize in seed funding while others specialize in first-stage or second-stage funding.

Venture Capital
(4 of 4)

Table 10.3

Stages (or Rounds) of Venture-Capital Funding

Stage or Round	Purpose of the Funding
Seed funding	Investment made very early in the life of a business to fund the development of a prototype and feasibility analysis.
Start-up funding	Investment made to firms exhibiting few if any commercial sales but in which product development and market research are reasonably complete. Management is in place, and the firm has completed its business model. Funding is needed to start production.
First-stage funding	Funding that occurs when the firm has started commercial production and sales but requires additional financing to ramp up its production capacity.
Second-stage funding	Funding that occurs when a firm is successfully selling a product but needs to expand both its production capacity and its markets.
Mezzanine financing	Investment made to a firm to provide for further expansion or to bridge its financing needs before a public offering of stock or before a buyout.
Buyout funding	Funding provided to help one company acquire another.

Initial Public Offering
(1 of 3)

- Initial Public Offering
  - An initial public offering (IPO) is a company's first sale of stock to the public. When a stock goes public, its stock is traded on one of the major stock exchanges.
  - Most entrepreneurial firms that go public trade on the NASDAQ, which is weighted heavily toward technology, biotech, and small-company stocks.
  - An IPO is an important milestone for a firm. Typically, a firm is not able to go public until it has demonstrated that it is viable and has a bright future.

Initial Public Offering

Four reasons that motivate firms to go public

Reason 1	Reason 2	Reason 3	Reason 4
Is a way to raise equity capital to fund current and future operations	**An IPO raises a firm's public profile, making it easier to attract high-quality customers, alliance partners, and employees**	**An IPO is a liquidity event that provides a means for a company shareholders (including its investors) to cash out their investments**	**By going public, a firm creates another form of currency that can be used to grow the company**

Initial Public Offering
(3 of 3)

- Initial Public Offering (continued)
  - Although there are many advantages to going public, it is a complicated and expensive process.
    - The first step in initiating a public offering is to hire an investment bank. An investment bank is an institution, such as Credit Suisse First Boston, that acts as an advocate and adviser and walks a firm through the process of going public.
    - As part of this process, the investment bank typically takes the firm's top management team wanting to go public on a road show, which is a whirlwind tour that consists of meetings in key cities where the firm presents its business plan to groups of investors (in an effort to drum up interest in the IPO).

Sources of Debt Financing

Commercial Banks

SBA Guaranteed Loans

Commercial Banks

- Banks
  - Historically, commercial banks have not been viewed as practical sources of financing for start-up firms.
  - This sentiment is not a knock against banks; it is just that banks are risk adverse, and financing start-ups is a risky business.
    - As shown in Table 10.1 (on a previous slide), banks are interested in firms that have a strong cash flow, low leverage, audited financials, good management, and a healthy balance sheet.
    - Although many new ventures have good management, few have the other characteristics, at least initially.

SBA Guaranteed Loans
(1 of 3)

- The SBA Offers Three Loan Programs
  - 7(a) Loan Guarantee, Microloan, and 504 Certified Development Company Loan
  - The SBA does not currently have funding for direct loans nor does it provide grants or low interest loans for business start-up or expansion.
- Philosophy Behind SBA Programs
  - The SBA provides loan guarantees to small businesses unable to secure financing on reasonable terms through normal lending channels.

SBA Guaranteed Loans
(2 of 3)

- Philosophy Behind SBA Programs
  - The programs operate through private-sector lenders that provide loans which are, in turn, guaranteed by the SBA.
- What Can the Loan Funds Be Used For?
  - Working capital to expand an existing business or start a new one
  - Real estate renovation, purchase or construction
  - Equipment purchases
- Who is Eligible
  - Almost all small businesses are eligible for the SBA programs.

SBA Guaranteed Loans
(3 of 3)

- Amount of Funds Available
  - The SBA can guarantee as much as 85% on loans of up to $150,000 and 75% on loans of more than $150,000.
  - In most cases, the maximum guaranty is $1 million.
- Collateral
  - In most cases, the individual obtaining the loan must pledge all his or her available collateral to obtain the loan.

Creative Sources of Financing or Funding

Leasing

Strategic Partners

Small Business Innovation Research Grants

Leasing
(Slide 1 of 2)

- Leasing
  - A lease is a written agreement in which the owner of a piece of property allows an individual or business to use the property for a specified period of time in exchange for payments.
  - The major advantage of leasing is that it enables a company to acquire the use of assets with very little or no down payment.
    - The two most common types of leases that new ventures enter into are leases for facilities and leases for equipment.
    - For example, many new businesses lease computers from Dell. The advantage for the new business is that it can gain access to the computers it needs with very little money invested up front.

Leasing
(Slide 2 of 2)

- Leasing (continued)
  - Most leases involve a modest down payment and monthly payments during the duration of the lease.
  - At the end of an equipment lease, the new venture typically has the option to stop using the equipment, purchase it for fair market value, or renew the lease.
  - Leasing is almost always more expensive than paying cash for an item, so most entrepreneurs think of leasing as an alternative to equity or debt financing.

Government Grants
(1 of 4)

- SBIR and SBTT Programs
  - The Small Business Innovation Research (SBIR) and the Small Business Technology Transfer (SBTT) programs are two important sources of early-stage funding for technology firms.
  - These programs provide cash grants to entrepreneurs who are working on projects in specific areas.
    - The main difference between the SBIR and the SBTT programs is that the SBTT program requires the participation of researchers working at universities or other research institutions.

Government Grants
(2 of 4)

- SBIR Program
  - The SBIR Program is a competitive grant program that provides over $1 billion per year to small businesses in early-stage and development projects.
  - Each year, 10 federal departments and agencies are required by the SBIR to reserve a portion of the R&D funds for awards to small businesses.
  - Guidelines for how to apply for the grants are provided on each agency's Web site.

Government Grants
(3 of 4)

- SBIR Program (continued)
  - The SBIR is a three phase program, meaning that firms that qualify have the potential to receive more than one grant to fund a particular proposal.
  - Historically, less than 15% of all phase I proposals are funded. The payoff for successful proposals, however, is high.
  - The money is essentially free. It is a grant, meaning that it doesn’t have to be paid back and no equity in the firm is at stake.

Government Grants
(4 of 4)

Table 10.4

Small Business Innovation Research: Three-Phase Program

Phase	Purpose of Phase	Duration	Funding Available (varies by agency)
Phase I	To demonstrate the proposed innovation's technical feasibility.	Up to six months	\$75,000–\$100,000
Phase II	Available to successful phase I companies. The purpose of a phase II grant is to develop and test a prototype of the innovation validated in phase I.*	Up to two years	\$300,000–\$750,000
Phase III	Period in which phase II innovations move from the research-and-development lab to the marketplace.	Open	No government funding involved. At this point, businesses must find private funding or financing to commercialize the product.

Strategic Partners

- Strategic Partners
  - Strategic partners are another source of capital for new ventures.
    - Biotechnology, for example, relies heavily on partners for financial support. Biotech firms, which are typically small, often partner with larger drug companies to conduct clinical trials and bring products to market.
  - Alliances also help firms round out their business models and conserve resources.
    - As we discussed in Chapter 5, Dell can focus on its core competency of assembling computers because it has assembled a network of strategic partners that provides it critical support.